

Global Software

Workday Inc

Rating

Outperform

Price Target



238.00 USD (216.00 OLD)



Mark L. Moerdler, Ph.D.
+1 917 344 8506
mark.moerdler@bernsteinsg.com



Firoz Valliji, CFA
+1 917 344 8316
firoz.valliji@bernsteinsg.com



Shelly Tang, CFA
+1 917 344 8342
shelly.tang@bernsteinsg.com

Workday 2Q27: In-line quarter with a floor set to next year's growth plus significant margin improvement.

Workday delivered a good quarter with small beats, updated FY27 guidance and gave initial color on FY28 revenue and margins. Initially the stock was down 7% as Q3 guide was a bit light, but the stock recovered after management gave initial FY28 outlook during the call. The company is guiding to margin improvement in FY27 and then another 200 bps expansion in FY28. Combined with what investors realize is a quite conservative FY28 initial subscription revenue growth guide of 11%, the stock rebounded to be flat aftermarket. We are seeing yet another example of investors reacting positively to signs of business stability, as the expectations and valuation have massively reset.

With a floor set on next year's subs revenue growth, margin improvement, potential of more share shrinkage and decreasing SBC, investor will now turn to the Oct. Analyst Day. While WDAY is likely to give more color on financial prospects, the event is going to be focused on the re-imagining of Workday, FINS and HCM in an AI world. We hope to spend significant time at the event understanding how AI will be infused into the user interface, used to automate manual processes and deliver more value to customers. In addition, we hope to hear a lot more details on the different monetization strategies that will be implemented.

Investment Implications

Workday (\$238 PT, Outperform): Workday's growth has slowed, not dissimilar to the rest of software but that slowing is driven by Cloud penetration and size of revenue rather than AI. The company is now focused on maintain double-digit growth (guiding to subs revenue growth of at least 11% next FY) while driving strong margin improvement (200+bps in FY28), continuous return of cash, and shrinking SBC. WDAY, like most SaaS names is more of a value story but the high double-digits EPS growth, with low churn (97% retention) and the optionality of AI upside is the story and who knows - they could be acquired. We raised our PT from \$216 to \$238, as we rolled forward our estimates and lowered our target P/FE multiple from 15x to 14x to reflect slower near-term growth.

Adjusted EPS	F26A	F27E	F28E
WDAY (USD)	9.23	11.58	15.30
OLD	--	11.15	13.95

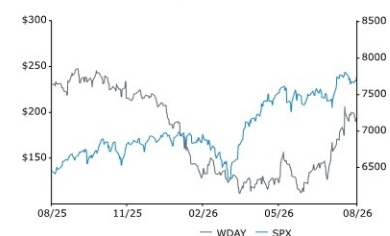
Financials	F26A	F27E	F28E	CAGR
Net Earnings (M)	2,473	2,791	3,460	18.3%
Net Income Margin (%)	25.9	25.9	28.7	--
Operating Earnings (M)	2,823	3,387	4,044	19.7%
Operating Margin (%)	29.6	31.5	33.5	--
Revenue/Share	35.62	44.52	53.38	22.4%
Revenues (M)	9,552	10,764	12,071	12.4%

Source: Bloomberg, Bernstein estimates and analysis.

Close Date	27 Aug 2026			
WDAY Close Price (USD)	193.57			
Price Target (USD)	238.00			
Upside/(Downside)	23%			
52-Week Range	249.85/110.36			
SPX	7,730.99			
FYE	Jan			
Div Yield	NA			
Market Cap (USD) (M)	46,650			
EV (USD) (M)	46,088			
Performance	YTD	1M	6M	12M
Absolute (%)	(9.9)	31.2	44.7	(15.7)
SPX (%)	12.9	4.3	12.4	19.3
Relative (%)	(22.8)	26.9	32.3	(35.0)

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



VALUATION COMPS TABLE

8/27/2026		Net Cash Per Share		Free Cash Flow (LTM)		Revenue Growth	Valuation Multiples				
Bernstein Coverage	Company	Share Price	\$	% of Share Price	Per Share (\$)	% Yield	NTM (%)	EV / NTM Revenue	P / FE	Price / FCF (LTM)	PEG Ratio
	Adobe	\$290.35	(3.48)	(1.2%)	24.86	8.6%	10.1%	4.2x	11.2x	11.2x	0.8x
	Microsoft	\$504.74	(6.97)	(1.4%)	8.99	1.8%	18.1%	9.7x	25.5x	56.0x	1.8x
	Oracle	\$151.25	(46.51)	(30.8%)	(8.13)	N/A	32.3%	6.4x	18.7x	N/A	3.3x
	MongoDB	\$445.55	28.66	6.4%	7.15	1.6%	18.6%	10.8x	69.7x	60.6x	3.3x
	Salesforce.com	\$253.51	(33.86)	(13.4%)	16.84	6.6%	10.3%	4.9x	17.3x	13.8x	-1.3x
	HubSpot	\$255.57	21.13	8.3%	12.64	4.9%	14.0%	3.0x	17.0x	19.4x	0.6x
	SAP	\$220.69	1.09	0.5%	7.39	3.3%	11.5%	6.3x	24.4x	31.4x	1.3x
	Snowflake	\$330.17	0.54	0.2%	3.43	1.0%	28.8%	17.6x	153.1x	97.8x	2.9x
	Quantinuum	\$54.01	8.91	16.5%	(1.20)	N/A	50.3%	319.7x	N/A	N/A	N/A
Workday	\$192.80	2.13	1.1%	11.25	5.8%	11.0%	4.3x	17.3x	16.0x	1.1x	
Other Comp	Autodesk	\$270.80	0.93	0.3%	12.75	4.7%	11.9%	6.8x	21.0x	20.9x	1.4x
	ServiceNow	\$138.48	(3.64)	(2.6%)	4.39	3.2%	20.0%	8.3x	30.4x	31.3x	1.4x
	Amadeus	\$67.81	(7.15)	(10.5%)	4.77	7.0%	8.4%	4.5x	15.7x	14.1x	1.3x
	Datadog	\$244.29	10.14	4.1%	2.93	1.2%	24.5%	17.1x	88.5x	82.0x	5.7x

Source: Bloomberg, Bernstein analysis

DETAILS

Workday delivered a good quarter ([Exhibit 3](#)) beating on subscription revenue and margins updating FY guidance and giving initial color on FY28 revenue and margins. Initially the stock was down as much as 7% but the stock rebounded and was flat after the initial FY28 guidance color was given during the call. We are seeing yet another example of investors reacting positively to signs of business stability.

While the Q3 subscription revenue guide was slightly below street expectations the margin improvement in FY27 and the 200 bps margin guide combined with what investors realize is a quite conservative FY28 initial subscription revenue growth guide of 11% rebounded the stock.

With a floor set on next year's subscription revenue growth, margin improvement, the potential of more share shrinkage and decreasing SBC investor focus will now turn to the Analyst Day in October at Workday Rising. While the company is likely to give more color on financial prospects the event is going to especially focused on the re-imagining of Workday, Financials and HCM in an AI world. We hope to spend significant time at the event understanding how AI will be infused into the company's user interface, used to automate valuable manual processes and delivering more value to customers. In addition, we hope to hear a lot more details on the different monetization strategies that will be implemented.

The company is aggressively investing in AI, as we are seeing at many of Workday's peers but their approach is a bit more focused and thoughtful. Workday's AI approach is 3 pronged:

- Turning AI into the default user interface for their products, leveraging Sana
- Building targeted AI capabilities and add-ons that have visible ROIs
- Focused on AI adoption vs immediate monetization. Workday has, it would seem, learned from the rest of software (e.g. HubSpot) that driving customer adoption via some free usage and then converting into monetization is a good strategy.

In summary, the company is driving in the right direction (and roughly in-line with prior guidance - [Exhibit 2](#)), and we continue to like the story long-term with:

- 11% FY28 subscription revenue growth floor (likely 12-13%)
- 200+ bps of margin improvement delivering 33%+ PF Op margins with more upside likely
- 97% revenue retention
- Shrinking use of Stock Based Compensation (GAAP Op margins improving faster than PF).
- A \$4B share repurchase approval that could be implemented relatively quickly.
- AI upside as the company is already delivering \$600M of AI ARR (up from \$500M in Q1) and the ramping of consumption credits and monetization is only just starting.
 - Note that the company is going to focus on adoption, so strong monetization could be as late as H2FY28 given free usage.

While the company is not surprisingly tight-lipped about the potential of a PE buyout ([link](#)) we believe that the company is not likely to be interested in an acquisition at the oft quoted price. Given the stock history we would expect that anything less than \$250 and likely more would be successful. We will watch and see but at a minimum we believe that this offer sets a floor on the stocks value.

With the stock valuation reset by the potential of their acquisition, the stock is not as cheap as it was. But it is less expensive than Salesforce, growing faster, delivering more margin improvement with lower churn, a larger percentage of revenue driven AI and the story not confused by continuous M&A. Fundamentally we like the Workday story, its AI strategy and its execution on margin improvement. We think the relatively low valuation provides some down-side protection with upside optionality.

EXHIBIT 2: A reminder of Workday's long-term guidance during 2025 Investor Day

Target Financial Framework			
	Low	Mid	High
Subscription Revenue CAGR Through FY28	12%	13%-14%	15%
Non-GAAP Operating Margin in FY28	36%	~35%	33%
Non-GAAP "Rule of" ¹	48%		
SBC % Revenue in FY28	13%-14% and managing lower		
Non-GAAP "Rule of" Including SBC ²	~35%		
Share Repurchases ³	\$5B through FY27		
FCF/Share CAGR Through FY28 ⁴	>20%		
FCF/Share in FY28 ⁴	~\$15		

All Targets are FY28 unless otherwise noted; 3-year CAGR calculated for FY26-FY28. Refer to Appendix - About Non-GAAP Measures for further details.
¹ Defined as FY28 subscription revenue growth plus FY28 Non-GAAP operating margin.
² Defined as FY28 subscription revenue growth plus FY28 Non-GAAP operating margin minus FY28 SBC % of revenue.
³ Share repurchases are inclusive of FY26 and FY27.
⁴ Excludes any non-recurring items.

Source: Company presentation

READ THROUGH TO THE REST OF SOFTWARE

While the stock reaction was different for Workday and Salesforce we are seeing the same trend persist - investors are pleased when a software company delivers a relatively clean quarter and seems to show that AI is not going to be headwind to growth. While Salesforce's stock shot up after what was a small beat and raise, once one takes out the impact of acquisitions, Workday's stock was flat after a small beat and conservative guide. While part of the difference in reaction was the companies, part was the fact that Workday's stock is still up substantially after the news that Workday may potentially be acquired. In other words, any positive factors and signs of stability will drive a positive reaction in software valuations as investors, we believe, are increasingly interested in software.

Generally we believe that software is now bouncing off the bottom. We saw this with SAP ([SAP 2Q earnings](#)), Microsoft ([Microsoft 4QFY26 earnings](#)) and now with Salesforce. It does not take a big beat anymore as investors are looking to invest in software. Instead, a relatively clean quarter and signs of that AI is not a near-term (if not better long term) headwind. Valuations have decreased substantially, and a good quarter can deliver a nice bounce. We believe this will continue through the rest of earnings this quarter as investors realize that AI is neither going to kill software nor is it a bubble. Instead, for enterprise software AI adoption takes time and while it could be a headwind to some enterprise app seats it can also drive incremental revenue from the up-sales of AI driven automation.

On the other hand a noisy quarter with signs of an AI impact can have an equivalently large impact on results as seen recently at HubSpot ([HubSpot Q2FY26 earnings](#)) Note that last quarter we saw a positive impact from a clean quarter and nice beat at Snowflake and MongoDB (see our recent preview ([Our thoughts on Snowflake and MongoDB into 2Q27 earnings](#))) driving substantial stock appreciation.

EXHIBIT 3: **Workday 2Q27 results vs. guidance and consensus**

FQ227		Actual vs. Estimates	
Total Revenue (\$M)	Guidance	2,635	0.5%
	Consensus	2,640	0.3%
	Actual	2,649	
Subscription Revenue (\$M)	Guidance	2,455	0.7%
	Consensus	2,460	0.4%
	Actual	2,471	
Prof. Services Revenue (\$M)	Guidance	180.0	(1.1%)
	Consensus	180.2	(1.2%)
	Actual	178.0	
Operating Margin (PF)	Guidance	30.0%	1.1%
	Consensus	30.0%	1.1%
	Actual	31.1%	
EPS (Diluted, PF)	Consensus	2.61	\$0.14
	Actual	2.75	
Unearned Revenue (\$M)	Consensus	4,410	1.1%
	Actual	4,459	

Source: Street Account, Company reports, Bernstein analysis

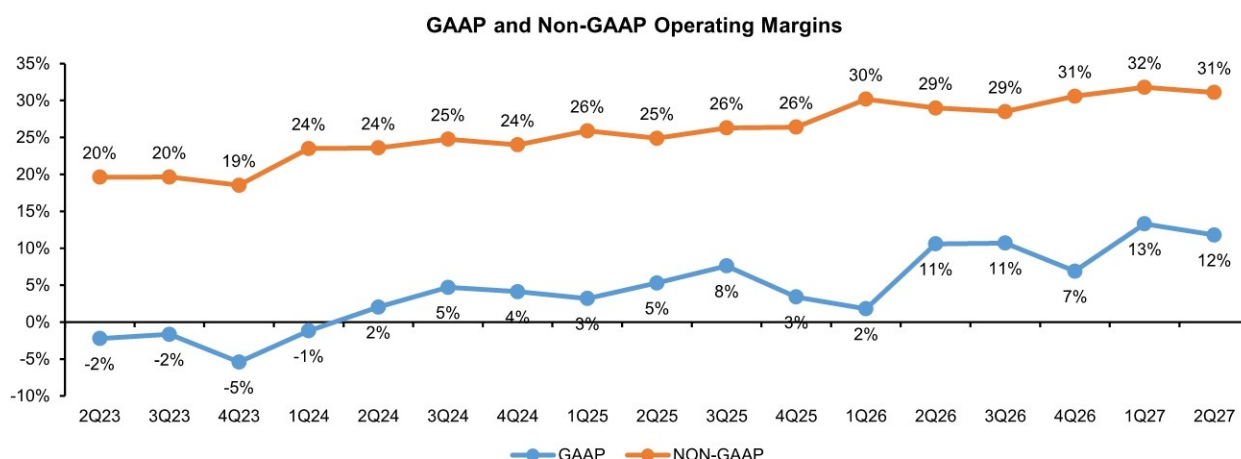
HIGHLIGHTS FROM THE QUARTER

- 2Q27 key financial metrics summary:** as [Exhibit 3](#) shows, Subscription revenue in 2Q was \$2.471B, up 13.9% from last year, slightly ahead of consensus. Total revenue of \$2.649B represents 12.8% growth. US revenue in Q2 was \$1.97B, up 12%, and International revenue was \$682M, up 17%. Gross revenue retention rate is 97%, which remains relatively consistent. Non-GAAP operating margin came in at 31.1% this quarter, above consensus as the company continues to have a balanced focus growth and margins, even as they are acquiring high growth AI focused companies.
- For the last few quarters, net expansion from existing customers drove roughly 60% of the subscription revenue growth
- Margins:** The company is being very disciplined driving operational leverage which is translating into consistent margin improvement. ([Exhibit 4](#)). This quarter the company is guiding to 2pts of operating margin improvement in FY28. We continue to believe the company has a lot more room for margin improvement and could end with one of the higher margins in enterprise SaaS. Despite investments in AI (including forward deployed engineers)
- Initial outlook for FY28:** company provided on this call ahead of their Investor Day in October, initial FY28 outlook of 11% subscription revenue growth and at least 2pts of Non-GAAP operating margin expansion. The revenue growth outlook does not include potential upside from new products such as Sana Enterprise, Workday Extend, Data Cloud and AI agents, so the 11% sets a floor expectation with potential for beats. Meanwhile company continues to focus on shrinking SBC which means that GAAP margins will improve more than Non-GAAP margins.
- AI is becoming more real:** AI products reached \$600M in ARR this quarter, up from \$500M last quarter (1Q27), \$400M ARR in 4Q26 and 1.5 points of ARR contribution in 3Q25 (roughly \$120M ARR, which did not include Sana impact). This puts Workday in the same neighborhood and potentially slightly ahead of a few other SaaS players. AI also drove more than \$100M in ACV this quarter, accounting for more than 25% of all new ACV closed.
- Note that most of Sana, which stood at around \$400M ARR during the acquisition, is included in the ARR figure. But Sana is being deeply integrated into Workday's AI strategy and Workday's Platform, or as management puts it, the new front

end for Workday.

- **cRPO growth:** cRPO this quarter was \$9.034B, up 14.2%, which has the impact from the Paradox and Sana acquisitions (closed in 3Q26 and 4Q26 respectively).
- **Reducing SBC:** Workday has been for a number of years reducing the use of Stock Based Compensation. This is causing the delta between GAAP and PF to decrease. GAAP margin has been trending up and was 12% this quarter. Workday is driving to both improve PF margins while decreasing SBC, and it is a quality margin improvement story that's generally overlooked.
- **Buybacks:** In Q2, Workday repurchased \$1.3B worth of stocks, completing the \$5B purchase plan from 2025 Investor Day. The board has recently approved a new \$4B open-ended share repurchase program.

EXHIBIT 4: **Workday's natural margin improvement plus the shift from SBC to cash improves GAAP margins and lessens the delta between GAAP and PF.**



Source: Company reports, Bernstein analysis

GUIDANCE

Management issued guidance for 3Q27 and updated guidance on FY27, as illustrated in [Exhibit 6](#).

- **Management issued Q3 FY27 guidance**
 - Subscription revenue of \$2.515B, which implied a 12% growth.
 - Professional services revenue of \$175M
 - Total revenue of \$2.69B, which implied a 10.6% total revenue growth.
 - Current Backlog is expected to increase 11-12% Y/Y. Note that company will lap the Paradox acquisition in 3Q27, which added over a point to last year's cRPO growth in Q3.
 - While Current Backlog is often a good leading indicator of future growth it can be impacted by factors such as 1) renewal timing; and 2) deliverable timing (when a project takes time to build, it delays the timing of the recognition)
 - Non-GAAP operating margin is expected to be 30%. GAAP margins are expected to be 18 pp lower than non-GAAP margins.

EXHIBIT 5: Management provided 3Q27 guidance

Q3 Guidance (\$ millions)	Low	High	Midpoint	Implied Growth:	Consensus (Pre-Q)	Surprise (+/-)
Subscription Revenue	2515	2515	2515	12%	2520	(0.2%)
Prof. Svc. revenue	175	175	175	-6.9%	181.3	(3.5%)
Total Revenue	2690	2690	2690	10.6%	2700	(0.4%)
Non-GAAP Operating Margin	30.0%	30.0%	30.0%	-	29.5%	0.5%

Source: Company reports, Street Account, Bernstein analysis

- Management also updated their **FY27 guidance**:

- Narrowed FY27 subscription revenue guidance range to \$9.940B-\$9.950B from \$9.925B-\$9.950B, implying a 13% growth.
- Maintained FY27 professional services guidance of \$710M, down Y/Y as company continues to leverage their Partner system.
- Total revenue guide now became \$10.650B -\$10.660B , implying a 11.5% growth
- Raised FY27 non-GAAP operating margin to 31% from 30.5%. GAAP operating margin is expected to be approximately 18-19 percentage points lower than the non-GAAP margins. We believe that the company is going to focus on a combination of growth and margin improvement but pivot compared to the prior CEO toward a larger focus on taking advantage of the AI opportunity to drive growth acceleration.
- Non-GAAP tax rate expected to be 19%
- Operating cash flow guide of \$3.45B
- CAPEX of approximately \$270M
- FCF of \$3.18B, representing 15% growth

EXHIBIT 6: Management updated FY27 guidance

FY27 Guidance (\$ millions)	Low	High	Midpoint	Implied Growth:
Subscription Revenue	9940	9950	9945	13.0%
Prof. Svc. revenue	710	710	710	-1%
Total Revenue	10650	10660	10655	11.5%
Non-GAAP Operating Margin	31.0%	31.0%	31.0%	

Source: Company reports, Street Account, Bernstein analysis

- Company also provided **initial outlook for FY28** ahead of their Investor Day in October:
 - Company currently targets FY28 subscription revenue growth to be 11%, consistent with their growth expectation in 2H27
 - Note this does not include upside from new products such as Sana Enterprise, Workday Extend, Data Cloud and AI agents.
 - Non-GAAP operating margin is expected to expand at least 2pts in FY28

GEN AI AND AGENTIC AI

Workday's approach is to focus on leveraging AI to deliver visible ROI for customers. It is also seeing the early stages of the economic impact. In 2Q27, AI ARR grew more than 200% YoY to \$600M, up from \$500ARR in 1Q27, \$400M in 4Q26 and \$120M ARR in 3Q26 (before Sana acquisition). Although a majority of this figure is coming from the Sana Acquisition (which stood at roughly \$400M ARR at the time of acquisition), we note that Sana is going to be deeply integrated into the Workday

platform and become the future front end for Workday.

Workday is going to leverage AI across the company and its products with a specific focus on:

- Using AI and Sana AI as the default user interface to all the Workday solutions.
- Delivering targeted AI capabilities and add-on modules that solve real customer problems and have visible ROIs.
- Allowing customers to use AI in whatever form makes sense from within Workday apps, through Workday GO, via customer built AI within Workday's platform as well as externally with Workday monetizing the value created for the customer.
 - Workday is giving customers multiple ways to run agents on the Workday platform: 1) Customers can build their own AI agents with Workday's tools, including MCP-ready AI API's and connectors that are ready for agent consumption in an enterprise environment. 2) Customers can plug Workday agents into their agent front door with A2A protocol. As of Q1, Workday has made self-service agents available in Microsoft Teams, Microsoft Copilot, and Google Gemini. 3) they can use Workday's agents in Sana and 4) access Workday data via their Data Cloud. .

The company is acquiring and building targeted AI products that have visible ROI for customers, which makes adoption far easier. Like most of enterprise software they are still working out the best monetization strategy but they have taken a flexible AI credit model, which is a form of consumption pricing ratable recognized overtime, across all their AI offerings.

Workday is also taking a partner centric approach, similar in some ways to SAP, in which they are building strong integrations to partners such as Microsoft, Databricks¹, Google², and Snowflake to deliver broad functionality. They are also expanding their Data Cloud capabilities with the PipeDreams acquisition.

CLARITY COMING TO THE AI OVERHANG QUESTION

Two issues that are impacting the enterprise software markets in general and Workday specifically:

- Are we in an AI bubble?
- Is AI going to eat enterprise software whether due to companies building their own enterprise applications using Vibe coding tools or that new AI native startups will replace incumbents.

For Workday and other HCM solutions there is also the concern that AI will decrease total employment which will negatively impact their client's employee bases and thus HCM revenue. While we hear selected companies calling out decreasing employees in a specific part of their organization (e.g. service desks, tech) we are not seeing it broadly either in individual companies or across the market. Even in service desk where the concern is largest our recent conversations with corporations and consultants does not show any meaningful decrease in staffing levels. Frankly, if AI drives hiring to slow meaningfully, no less shrink global hiring there are going to be far worse industries and companies impacted, and especially the global economy.

We continue to believe that while there are bubble-like characteristics to the massive AI spending, low end-user / enterprise revenue generation, and quasi-circular relationships (vendor A invests in vendor B who buys equipment from A which is counted as vendor A's revenue) there is also real revenue being created, and the creation of technology that will be disruptive while also creating new revenue opportunities. This combination means that:

- AI will likely take longer to disrupt than many believe which creates opportunities for the incumbents especially ones like Workday that have hugely valuable offerings
- The chances of a single killer AI model are unlikely which means the real opportunity is for those leveraging/using a wide range of models. In fact, in enterprise small /specialized models are going to be used far more, we believe, than frontier models.

¹ Databricks is private

² Alphabet is covered by the Bernstein US Internet team

- During inferencing, the technology requirements will be different and data becomes far more important and a center of gravity that will pull inferencing toward where the data resides.

We also believe that data is the new gold in the AI era and companies that manage critical data of record such as financial and HCM data will be centers of gravity rather than disrupted by AI as long as these companies correctly invest and innovate.

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 7: WDAY Income Statement

\$ Millions, except when otherwise noted

Proforma Income Statement	FY2024	FY2025	FY2026	FY2027E	FY2028E	FY2029E	1Q27	2Q27	3Q27E	4Q27E
Subscription services	6,603	7,717	8,832	10,045	11,351	12,883	2,354	2,471	2,541	2,679
Professional services	656	729	720	719	720	759	188	178	176	178
Total revenues	7,259	8,446	9,552	10,764	12,071	13,642	2,542	2,649	2,717	2,856
Cost of Revenue	1,476	1,748	1,976	2,170	2,364	2,660	514	555	539	562
Gross Profit	5,782	6,698	7,576	8,595	9,707	10,982	2,028	2,094	2,179	2,294
Product development	1,784	1,915	1,946	2,182	2,363	2,622	510	523	562	587
Sales and marketing	1,810	2,071	2,216	2,412	2,661	2,836	572	597	617	626
General and administrative	447	544	591	613	639	710	137	150	165	162
Total costs and expenses	5,517	6,278	6,729	7,377	8,026	8,829	1,733	1,825	1,882	1,937
Operating Income (Loss)	1,741	2,168	2,823	3,387	4,044	4,813	809	824	835	919
Other expense, net	173	242	222	53	214	245	26.0	12.0	7.4	8.1
Income before income taxes	1,914	2,410	3,045	3,440	4,258	5,059	835.0	836.0	842.5	926.9
Provision for income taxes	364	458	572	650	798	948	159.0	159.0	158.0	173.8
Net Income (loss)	1,550	1,952	2,473	2,791	3,460	4,110	676.0	677.0	684.5	753.1
Basic EPS (\$)	5.93	7.36	9.33	11.63	15.38	18.60	2.66	2.76	2.90	3.31
Diluted EPS (\$)	5.84	7.25	9.23	11.58	15.30	18.51	2.66	2.75	2.88	3.29
Basic share count	261	265	265	241	225	221	254	245	236	228
Diluted share count	265	269	268	242	226	222	254	246	238	229
Key Ratios										
Subscription Services Gross Margin	87.0%	86.2%	85.2%	85.1%	84.8%	84.6%	85.1%	85.0%	85.2%	85.1%
Professional Services Gross Margin	6.0%	6.7%	6.7%	6.1%	11.5%	11.5%	12.8%	-3.9%	7.6%	7.5%
Overall Gross Margin	79.7%	79.3%	79.3%	79.8%	80.4%	80.5%	79.8%	79.0%	80.2%	80.3%
R&D as % of sales	24.6%	22.7%	20.4%	20.3%	19.6%	19.2%	20.1%	19.7%	20.7%	20.6%
S&M as % of sales	24.9%	24.5%	23.2%	22.4%	22.0%	20.8%	22.5%	22.5%	22.7%	21.9%
G&A as % of sales	6.2%	6.4%	6.2%	5.7%	5.3%	5.2%	5.4%	5.7%	6.1%	5.7%
Operating margin	24.0%	25.7%	29.6%	31.5%	33.5%	35.3%	31.8%	31.1%	30.7%	32.2%
Tax rate	19.0%	19.0%	18.8%	18.9%	18.8%	18.8%	19.0%	19.0%	18.8%	18.8%
Net margin	21.4%	23.1%	25.9%	25.9%	28.7%	30.1%	26.6%	25.6%	25.2%	26.4%

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 8: **WDAY Balance Sheet**

\$ Millions, except when otherwise noted

Balance Sheet	FY2024	FY2025	FY2026	FY2027E	FY2028E	FY2029E	1Q27	2Q27	3Q27E	4Q27E
Assets										
Cash and cash equivalents	2,012	1,543	1,501	2,280	5,869	10,085	559	661	1,193	2,280
Short term marketable securities	5,801	6,474	3,942	2,742	2,742	2,742	3,794	2,742	2,742	2,742
Accounts receivable, net	1,639	1,950	2,332	2,475	2,611	2,753	1,575	1,895	1,807	2,475
Other	487	578	654	762	887	1,032	664	671	663	762
Total Current Assets	9,939	10,545	8,429	8,259	12,109	16,612	6,592	5,969	6,406	8,259
Fixed Assets	1,234	1,239	1,093	1,096	1,067	1,077	1,121	1,126	1,109	1,096
Deferred costs, non current	509	561	634	754	911	1,090	619	654	667	754
Goodwill	3,079	3,839	5,910	5,838	5,838	5,838	5,873	5,838	5,838	5,838
Other assets	1,402	1,457	1,289	1,524	1,467	1,659	1,180	1,590	1,556	1,524
Total Non Current Assets	16,452	17,977	18,074	18,151	22,072	26,956	16,091	15,857	16,256	18,151
Total Assets	16,452	17,977	18,074	18,151	22,072	26,956	16,091	15,857	16,256	18,151
Liabilities										
Accounts payable	78	108	142	99	110	123	116	102	61	99
Accrued expenses	287	296	454	477	512	570	457	462	469	477
Capital leases	0	0	0	0	0	0	0	0	0	0
Debt	0	0	0	0	0	0	998	999	0	0
Others	4,690	5,144	5,782	6,427	6,970	7,636	4,964	5,010	5,082	6,427
Total current liabilities	5,055	5,548	6,378	7,003	7,592	8,329	6,535	6,573	5,612	7,003
Debt	2,980	2,984	2,987	2,975	2,947	2,920	1,990	1,990	2,982	2,975
Capital leases	0	0	0	0	0	0	0	0	0	0
Other liabilities	335	411	904	854	863	874	883	834	834	854
Total Non Current Liabilities	3,315	3,395	3,891	3,829	3,810	3,793	2,873	2,824	3,816	3,829
Total Liabilities	8,370	8,943	10,269	10,832	11,402	12,122	9,408	9,397	9,428	10,832
Shareholders' Equity										
Common stock	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Additional paid-in capital	10,400	11,463	12,673	13,963	15,614	17,352	12,932	13,365	13,587	13,963
Accumulated other comprehensive income	21.0	84.0	-136.0	-96.0	-96.0	-96.0	-125.0	-96.0	-96.0	-96.0
Accumulated deficit	(1,731)	(1,205)	(512)	903	3,203	6,229	(290)	342	638	903
Total stockholders equity	8,082	9,034	7,805	7,319	10,670	14,834	6,683	6,460	6,828	7,319
Total liabilities and stockholders equity	16,452	17,977	18,074	18,151	22,072	26,956	16,091	15,857	16,256	18,151

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 9: **WDAY Cashflow Statement**

\$ Millions, except when otherwise noted

Cash flow Statement	FY2024	FY2025	FY2026	FY2027E	FY2028E	FY2029E	1Q27	2Q27	3Q27E	4Q27E
Net income	1,381	526	693	1,415	2,300	3,025	222	632	296	265
Adjustments:										
Depreciation and amortization	282	326	347	340	303	299	92	92	79	78
Others	521	1,827	2,230	1,831	2,081	1,967	617	175	520	519
Changes in operating assets and liabilities	(34)	(217)	(331)	(109)	(167)	(109)	(235)	(379)	34	470
Net cash provided by operating activities	2,149	2,462	2,939	3,478	4,517	5,182	696	520	929	1,333
Business combinations, net of cash	-9	-824	-2,080	0	0	0	0	0	0	0
Changes in marketable securities	-1,631	-942	-381	322	0	0	31	291	0	0
Capital expenditures	-256	-289	-164	-238	-273	-309	-39	-73	-62	-65
Other	144	274	2,958	834	-	-	105	729	-	-
Net cash provided by investing activities	-1,751	-1,781	333	918	-273	-309	97	947	-62	-65
Proceeds stock offering	0	0	0	0	0	0	0	0	0	0
Repurchases of common stock	-422	-700	-2,895	-3,224	-600	-600	-1,587	-1,337	-150	-150
Proceeds from borrowings	0	0	0	0	0	0	0	0	0	0
Proceeds from Stock Based Compensation	154	-318	-303	-392	-55	-57	-146	-30	-185	-31
Principal payments on capital lease obligations	0	0	0	0	0	0	0	0	0	0
Others	(0)	(132)	(121)	-	-	-	-	-	-	-
Net cash provided by financing activities	-268	-1,150	-3,319	-3,616	-655	-657	-1,733	-1,367	-335	-181
Effect of exchange rate changes	-1	-1	2	-1	0	0	-1	0	0	0
Net change in cash and cash equivalents	129	-470	-45	778	3,589	4,216	-941	100	532	1,087
Cash and cash equivalents, beginning of period	1,895	2,024	1,554	1,509	2,280	5,869	1,509	568	661	1,193
Cash and cash equivalents, end of period	2,024	1,554	1,509	2,280	5,869	10,085	568	668	1,193	2,280

Source: Company reports, Bernstein estimates and analysis

BERNSTEIN TICKER TABLE

			27 Aug 2026		TTM	Adjusted EPS				Adjusted P/E (x)		
			Closing	Price	Rel.							
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2026A	2027E	2028E	2026A	2027E	2028E
WDAY (Workday)	O	USD	193.57	238.00	(35.0)%	USD	9.23	11.58	15.30	21.0	16.7	12.7
OLD				216.00				11.15	13.95			
SPX			7,730.99									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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VALUATION METHODOLOGY**Workday Inc**

We rate Workday as Outperform with a price target of \$238. We value Workday shares based on our estimate for 12-month forward NOPLAT per share in 1 year's time (\$15.87), and apply a P/FE multiple of 14x. We then add back in the net cash per share (\$15.36 per share), arriving at price target of \$238.

RISKS**Workday Inc**

Risks to our target price for WDAY include: larger software players deploying defense against Workday to increase client retention; industry moving to outsourcing of major HCM and Financial Management functions, thus rendering Workday solutions irrelevant; slower than expected adoption of SaaS ERP in general and specifically Workday Financials. Workday may fail to develop new solutions at a sufficient rate or develop solutions which do not fit client demand, thus driving down overall adoption rate for Workday's products.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

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The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600OIN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

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- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
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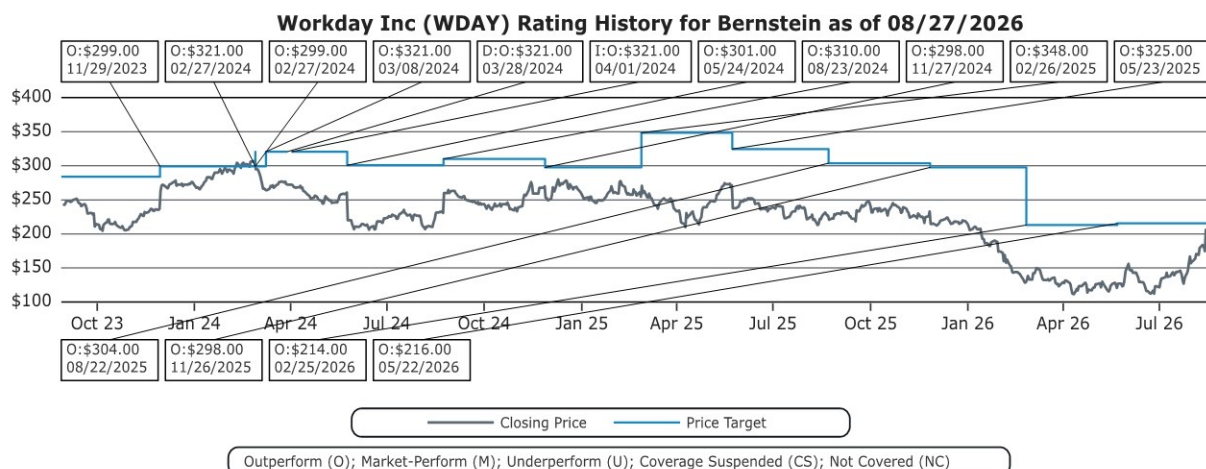
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Outperform	BUY	51.2%	15.3%
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Underperform	SELL	13.1%	13.6%

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